

COLLECTIVIDUALISM

- Mixed Economy is where free-market principles are combined with some degree of government intervention.
 - What will be produced?
 - How will goods and services be produced?
 - Who should get the goods and services?
 - Who makes economic decisions?
- Try to answer these on your own, using a mix of free-market and centrally planned ideas.

A MIX OF GOOD AND BAD

➤ Can you think of any examples of a Mixed Economy in the world?

Some Perceived Advantages	Some Perceived Disadvantages
• The economy is more stable than a free-market economy and the government can step in to lessen the effects of an economic crisis. • The basic needs of people are met. • Incentive, profit motive, personal wealth, private ownership, and personal choice are still evident. • The goals of the society can be more easily met (for example, promoting the growth of agriculture or industry through subsidies).	• Higher taxation than in a free-market economy to pay for an increased level of services provided by the government. • More government regulation and less personal freedom than in a free-market economy. • Government-owned or subsidized companies may have an unfair advantage over private companies. • More reliance on the government for social assistance.